Title Slide

CASE STUDY: MORTGAGE TRADING ANALYSIS IN POWER BI

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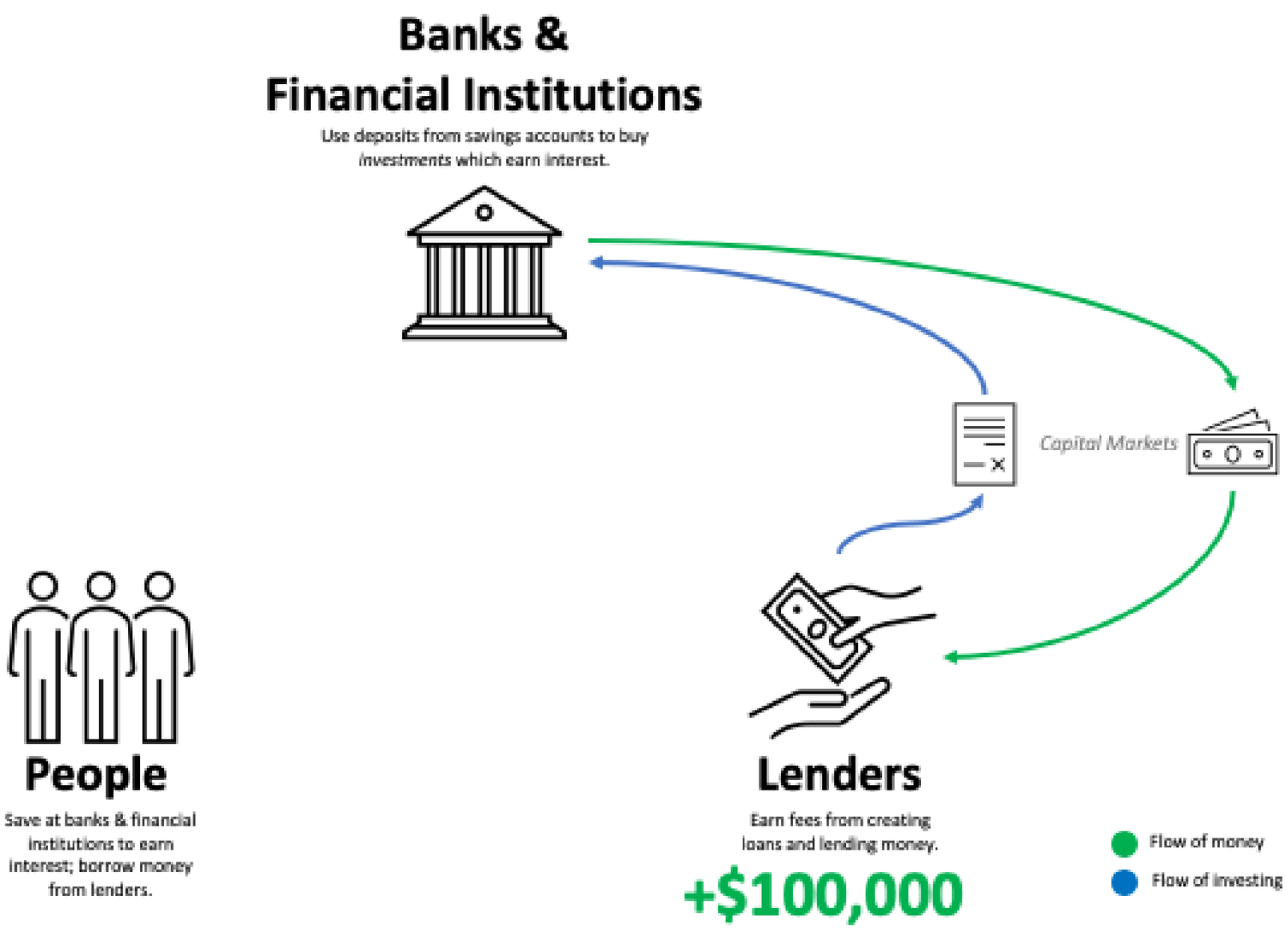
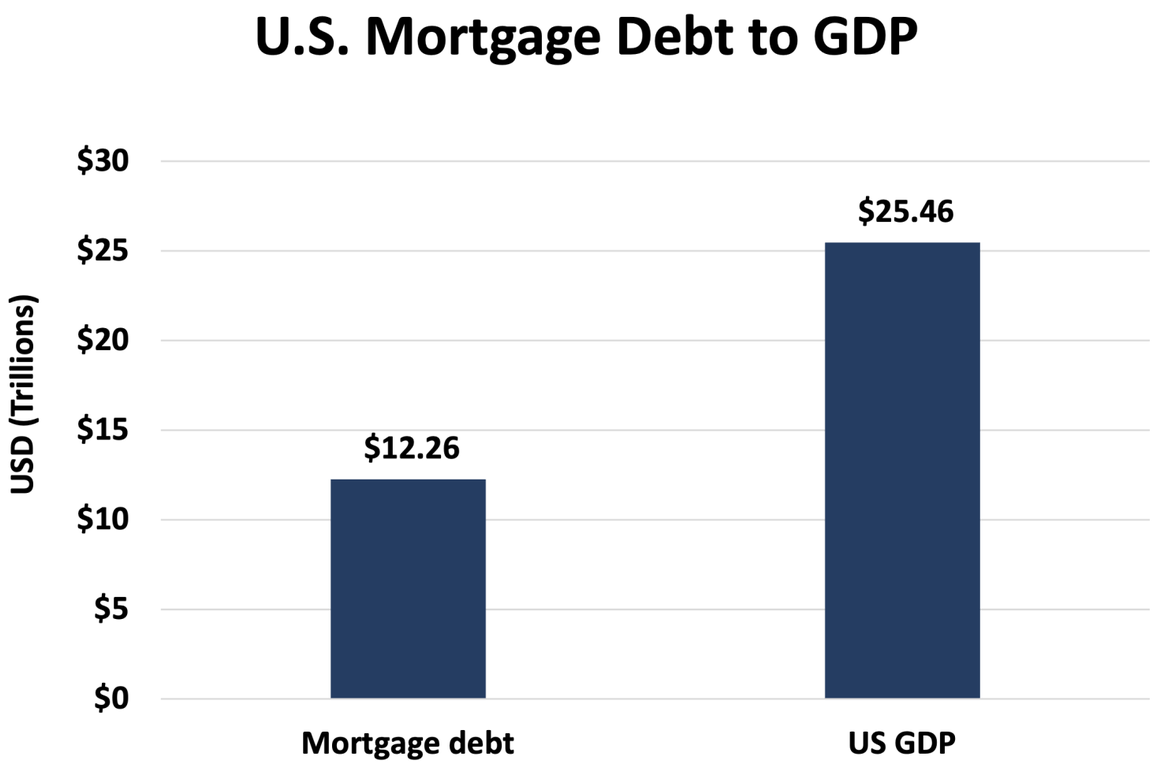
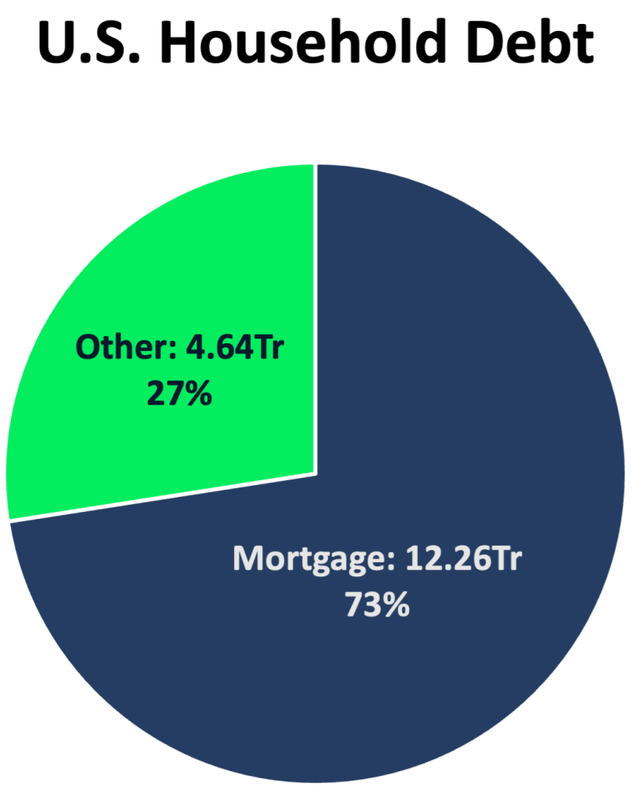
datacamp


Banks &
Financial Institutions
Use deposits from savings accounts to buy investments which earn interest.
Capital Markets
People
Save at banks & financial institutions to earn interest; borrow money from lenders.
Lenders
Earn fees from creating loans and lending money.
+$100,000
Flow of money
Flow of investing

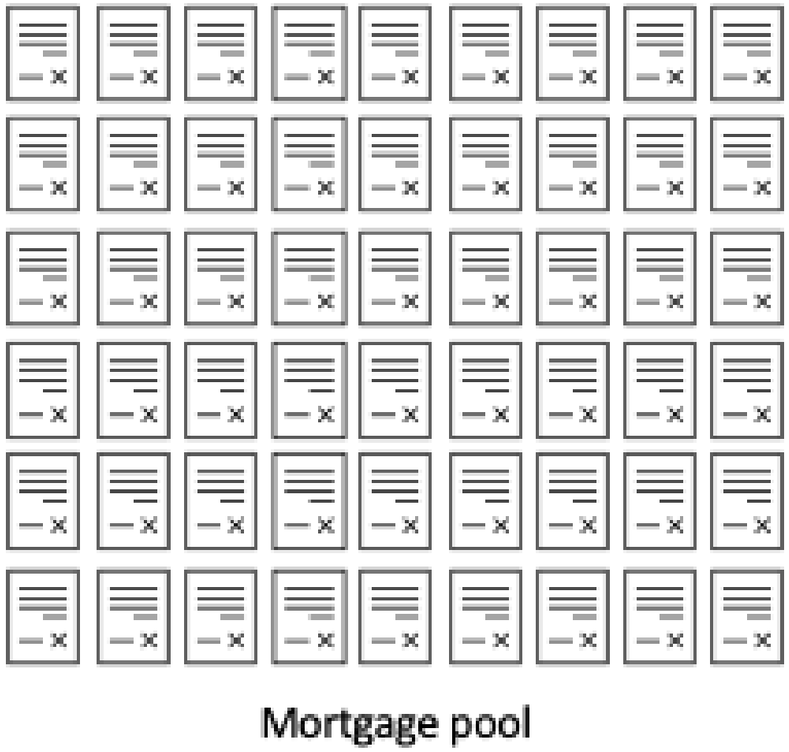
The U.S. mortgage market



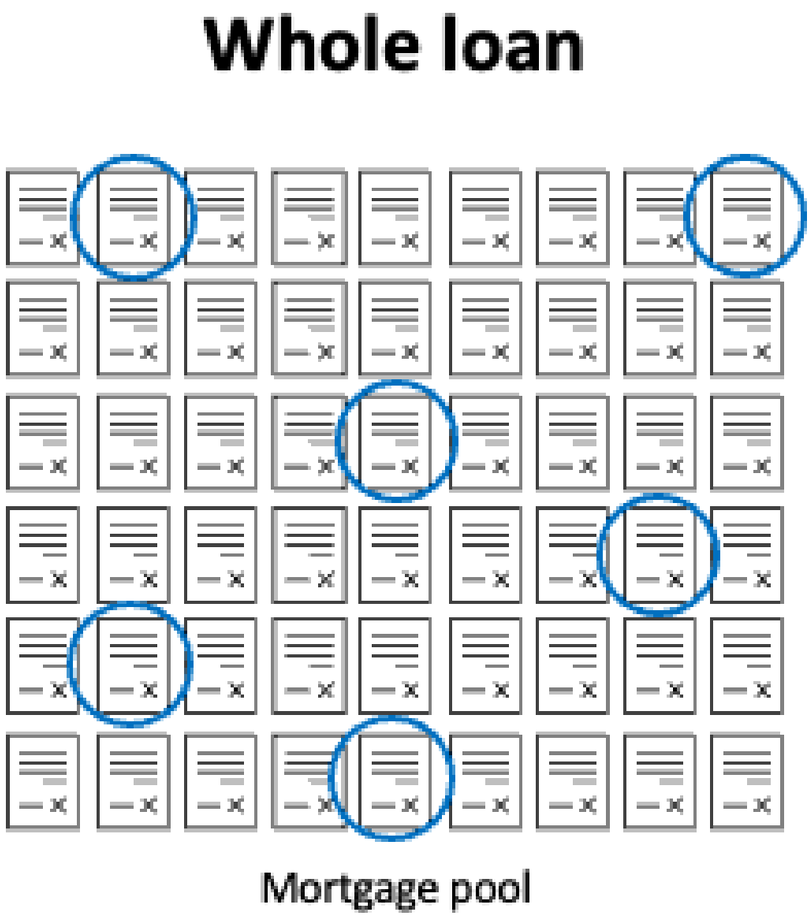


[1] https://www.newyorkfed.org/microeconomics/hhdc

Whole loan trading



Whole loan trading



Mortgage-backed securities

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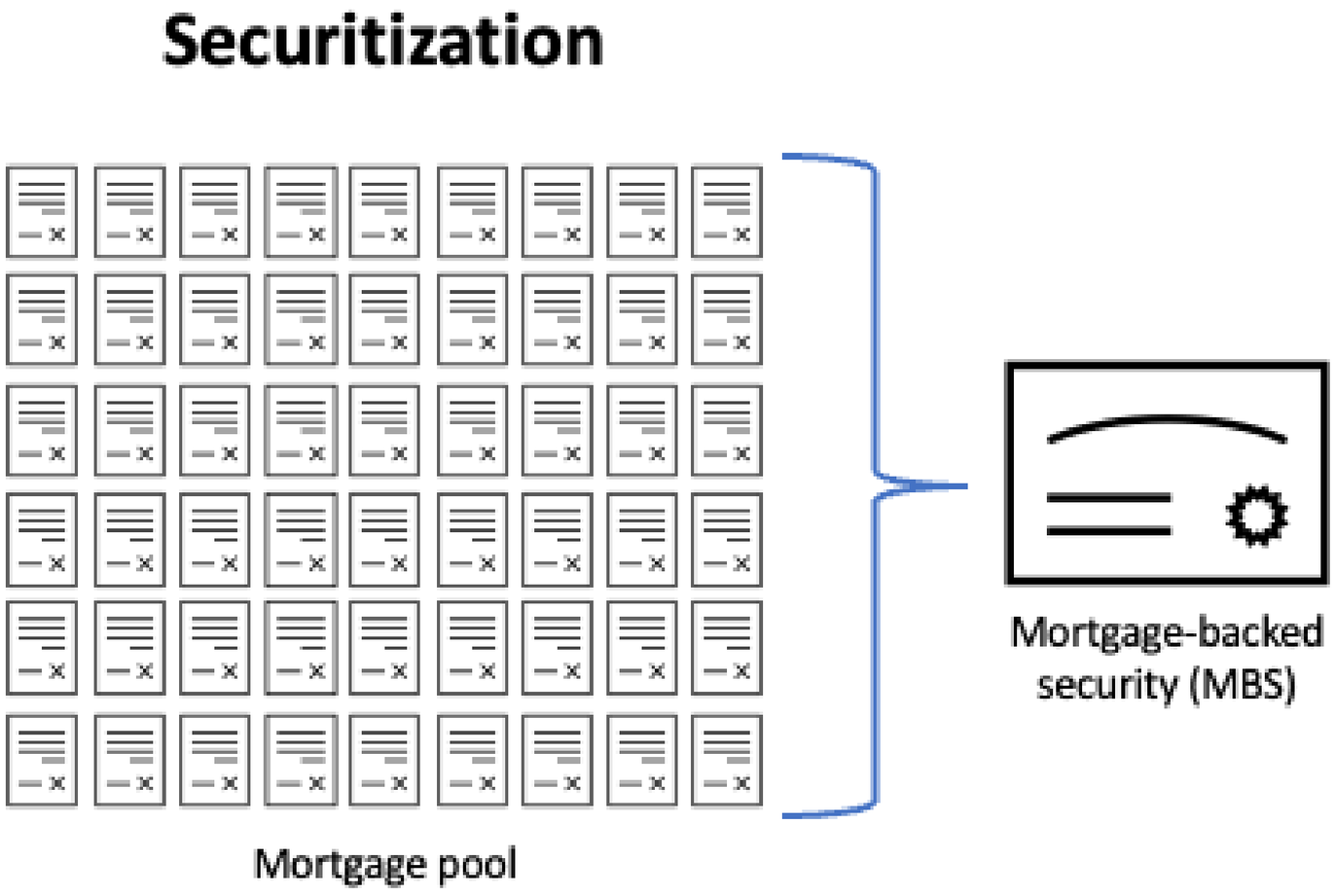

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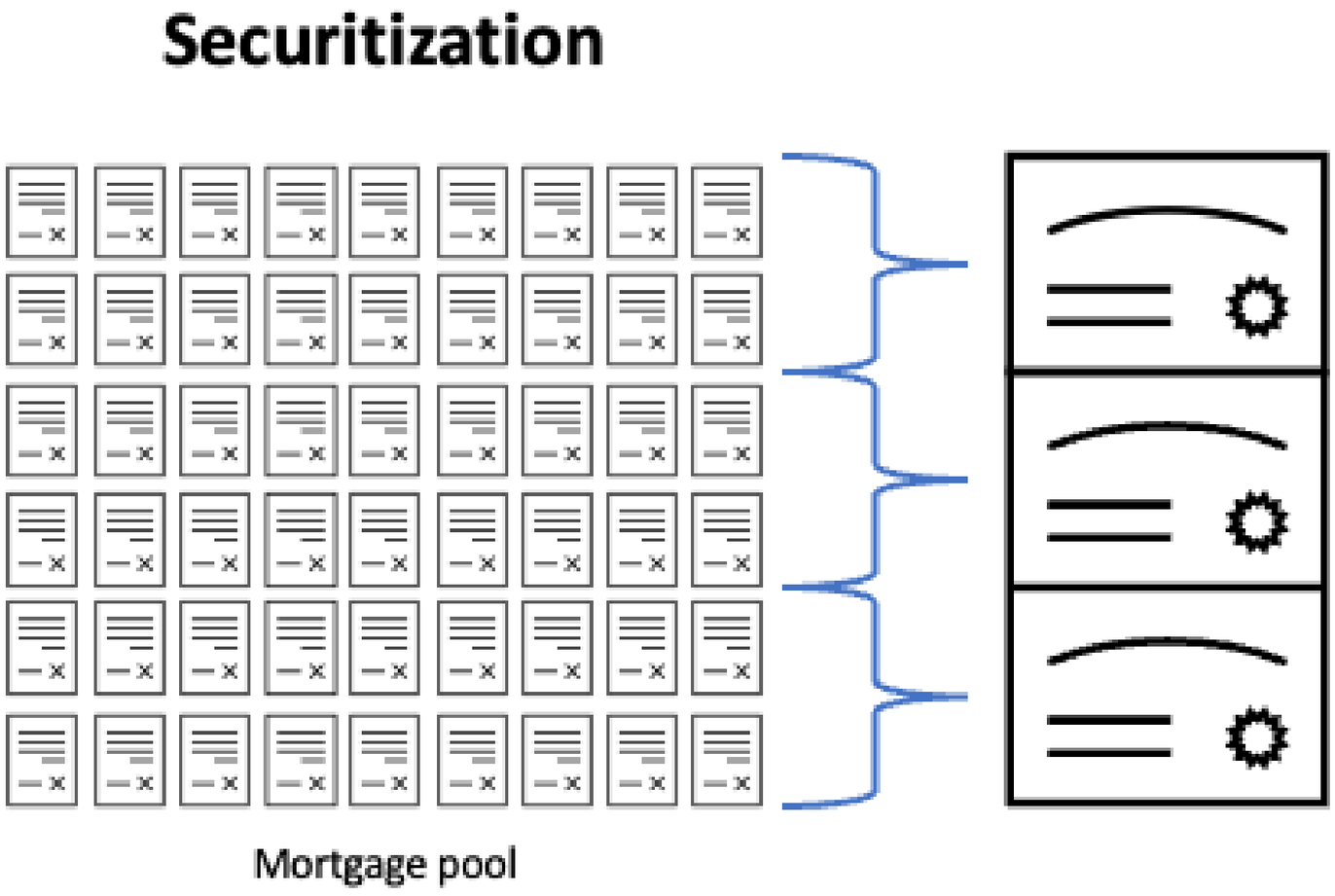

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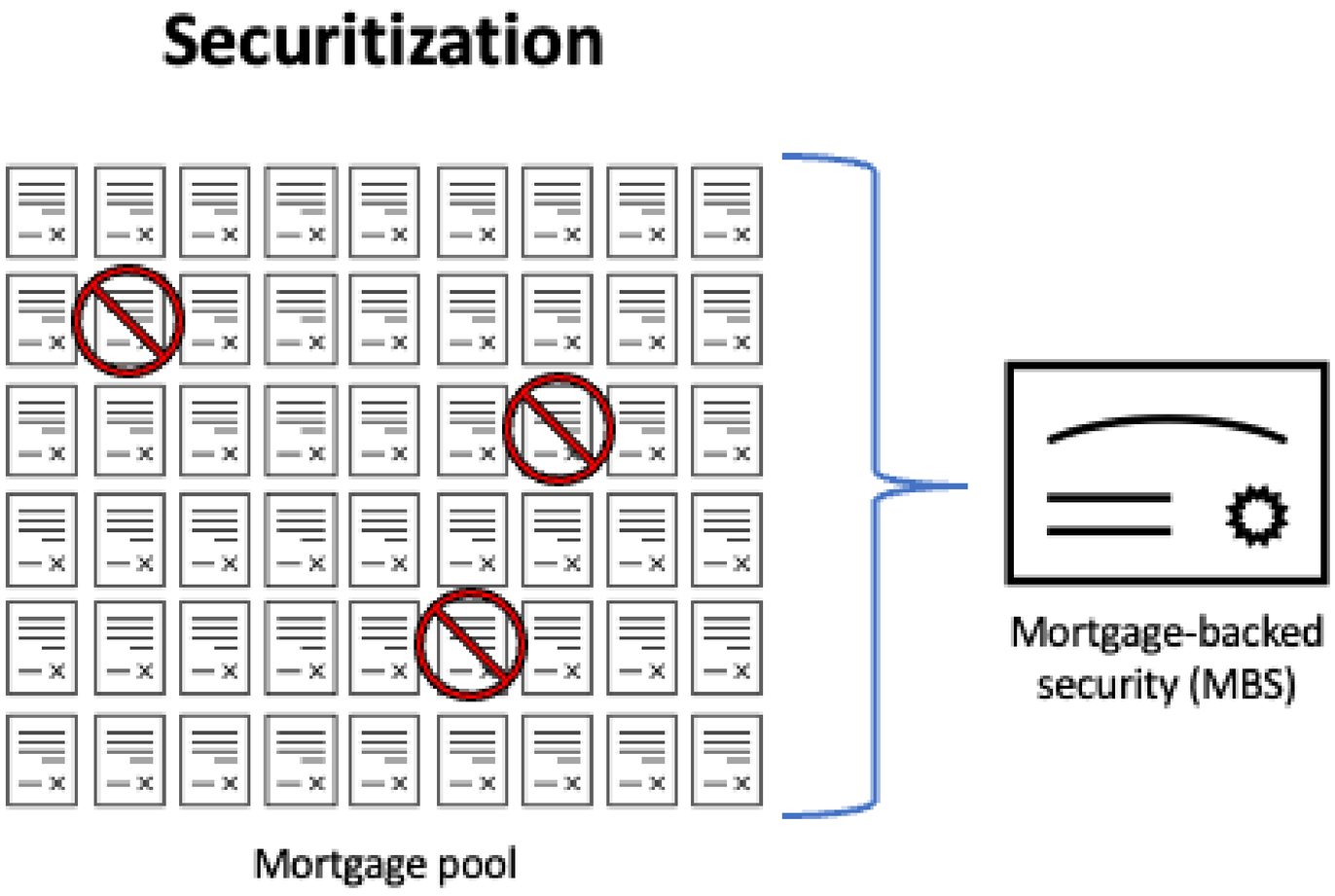
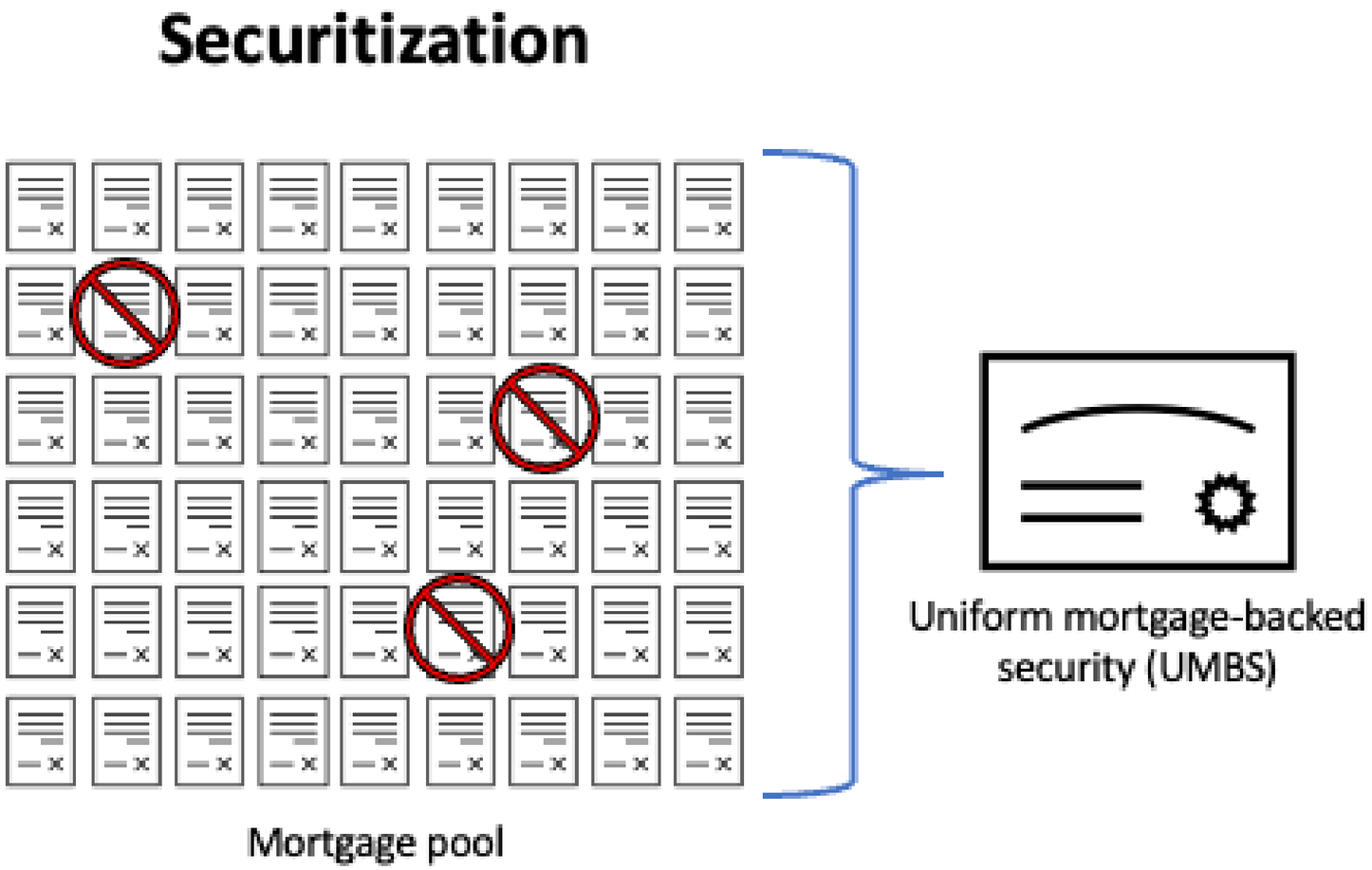


Mortgage-backed securities

Fannie Mae (Federal National Mortgage Association, FNMA)

Freddie Mac (Federal Home Loan Mortgage Corporation, FHLMC)



Bidding and prices

- **Trade price** is expressed as the percentage of the bond's principal balance
- **Trade amount** is the total dollar amount paid for the loan
  - `[Trade Price] x [Principal Balance]`
- **Trade premium** is the difference between the principal balance and the trade amount
  - `[Trade Amount] - [Principal Balance]`
- Example:
  - A **trade price** of `101.00` on `$100,000` would have a **trade amount** of `$101,000` and a **trade premium** of `$1,000`

Bid analysis in this case study

- Whole loan trade
  - Bids on individual loans
- Take the highest price
- Use a benchmark
  - UMBS prices

Let's trade!

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